RESERVE BANK OF INDIA

Department of Regulation

Title: Master Direction on Lending to Micro, Small and Medium Enterprises, 2026

Reference number: RBI/2026-27/61 DOR.MSM.REC/09/2026

Date: July 27, 2026

1. Access and Coverage

1.1 These Directions shall apply to all scheduled commercial banks, and each bank shall fix branch-wise priority-sector lending targets for micro, small and medium enterprises with achievement monitored at least once every quarter.

1.2 Regulated Entities shall extend collateral-free loans up to rupees ten lakh to eligible micro and small enterprises with cover under the Credit Guarantee Fund Trust for Micro and Small Enterprises, and guarantee claims shall be filed within stipulated timelines.

1.3 Regulated Entities shall onboard to Trade Receivables Discounting System platforms and extend receivables financing to micro, small and medium enterprise sellers, with counter-offers priced transparently and settled within 7 days of acceptance.

2. Support and Service

2.1 Regulated Entities shall offer restructuring of stressed micro, small and medium enterprise advances under the approved framework where viability is established, and viability assessments shall be documented with cash-flow projections.

2.2 Regulated Entities shall operate a grievance redressal mechanism for micro, small and medium enterprise borrowers with referral to Credit Counselling Centres, and complaints shall be resolved within 21 days of receipt.

2.3 Regulated Entities shall use standardised loan application forms for micro, small and medium enterprise credit, and decisions shall be communicated within 30 days of receipt of complete applications with reasons recorded for rejections.

3. Delivery and Oversight

3.1 Regulated Entities shall designate specialised micro, small and medium enterprise branches staffed with trained officers, and the directory of such branches shall be published and updated at least once every twelve months.

3.2 The Board of Directors shall review the micro, small and medium enterprise portfolio at least once every six months covering disbursement, non-performing asset trends and restructuring outcomes.

3.3 Regulated Entities shall verify Udyam registration before classifying advances as micro, small and medium enterprise lending, and unverified classifications shall be excluded from priority-sector reporting.